liabilities budgeted to be cleared in 2021–22 in financial year 2020–21 itself by taking advantage of higher taxation receipts in the last quarter of 2020–21. Let's hope India does not have to resort to the skulduggery of paying food subsidy bills by giving loans to FCI from NSSF again.

Is India's Debt a Big Reason to Worry?

India has high public debt among the emerging market and middle-income economies.

As per information provided in the Fiscal Monitor, published by the IMF, the public debt of the emerging market and middle-income countries at the end of calendar year 2019 was 54.3 per cent of their combined GDP. The public debt to GDP ratio of low-income developing countries was lower at 43.3 per cent. As advanced countries have much higher public debt to GDP ratio of 104.8 per cent, the global public debt to GDP ratio in 2019 was 83.5 per cent.

India's public debt to GDP ratio in the year 2019 was 73 per cent. It was the highest among the major emerging market and middle-income countries, only after Brazil, which had a higher ratio of 87.7 per cent. Brazil's ratio includes the public debt owed by the general government and also other firms in the non-financial sector. The ratio of public debt to GDP for China was 56.5 per cent; for Indonesia, it was only 30.6 per cent. While the emerging market and middle-income countries of Europe had a combined public debt to GDP ratio of only 28.7 per cent, Turkey's ratio was 31.7 per cent. In the low-income developing country space also, Nigeria's public debt to GDP ratio was only 29.1 per cent and that of Bangladesh 35.7 per cent.

The Budget 2021–22 informs that the Central government's total debt and liabilities were estimated at Rs 102.47 lakh crore at the end of year 2019–20. The revised estimates of the total debt and liabilities for the year 2020–21 were placed at Rs 121.22 lakh crore and the budget estimates for